TOWN OF TELLURIDE
TOWN COUNCIL

&

TELLURIDE HOUSING
AUTHORITY
AGENDA MEMORANDUM

Agenda Item:
Town Council – 8c; 12a
THA – III.C
Meeting Date: 11/19/24

**TITLE:**

**TOWN COUNCIL PUBLIC HEARING**

Second Reading and Approval Of An Ordinance Of The Town Council Of The Town Of Telluride Concerning The Execution And Delivery By The Town Of A Ground Lease For The Canyonlands and Tower House Affordable Housing Project

**TOWN COUNCIL ACTION ITEM**
Consideration Of Approval Of A Resolution Of The Town Council Of The Town Of Telluride, Colorado, Concerning Servitas-Telluride Housing I, LLC And The Issuance By Public Finance Authority Of Its Taxable Multifamily Housing Revenue Bonds (Telluride Affordable Housing Project), Series 2024, And Declaring The Town Council's Non-Binding Intent To Appropriate Funds To Replenish The Series 2024 Bonds Reserve Account Securing Such Bonds, If Necessary, And Authorizing The Provision Of Certain Financial Information About The Town On An Ongoing Basis And The Execution Of Related Documents

**TELLURIDE HOUSING AUTHORITY ACTION ITEM**
Consideration Of Approval Of A Resolution Of The Board Of Commissioners Of The Telluride Housing Authority Concerning Becoming A Member In The Owner Of The Canyonlands And Tower House Project, And In Connection Therewith, Authorizing The Execution Of An Operating Agreement Among The Members Of The Servitas-Telluride Housing I, LLC And An Asset Management Agreement By And Between Servitas-Telluride Housing I, LLC And Servitas Management Group, LLC.

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**SUBMITTING DEPARTMENTS:** Town Manager, Legal & Finance

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**EXHIBITS:**
1. Draft Ordinance
2. Draft Ground Lease
3. Canyonlands and Tower House Elevations & Floor Plans
4. Draft Replenishment Resolution
5. Draft THA Resolution
6. Draft PFA Support Letter

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**INTRODUCTION**
Consistent with 2024 Town Council Goal and Objective *I. Address Critical Infrastructure Needs; A. Efficiently Pursue Quality Affordable Housing Opportunities to Meet Varying Income Levels; 7. Commence construction on the Canyonlands and Tower House Projects,* staff has prepared for Council's consideration, recommendations to proceed with the Canyonlands and Tower House Project as set forth herein, including authorizing the execution of certain documents requiring Town approval. In support of these recommendations, staff, and the Town's counsel (Butler/Snow),

financial advisor (Hilltop Securities), and Developer (Servitas) and their consultants have prepared a Replenishment Resolution, Ground Lease, Ordinance, Public Finance Support Letter, and Effectiveness Opinion for Council consideration and Resolution for THA consideration, which, if approved, would enable the Project to proceed to financing, construction, implementation, and ongoing operations and management. At the November 5, 2024 Town Council Meeting, First Reading of the Ordinance approving the Ground Lease was considered and approved. Approval of all other documents by Town Council and the Telluride Housing Authority are being considered at the November 19, 2024 meetings.

These agenda items are more specifically described and discussed below in this memorandum.

**BACKGROUND/DISCUSSION**

Town Council directed the Telluride Housing Authority Subcommittee and staff to develop and release an RFP for a potential Public Private Partnership ("P3") affordable housing project to occur on the Canyonlands and Tower House sites. Accordingly, the RFP for the Project was issued on February 22, 2023, and after reviewing responses and interviewing responding teams, the Interview Committee recommended Servitas, LLC (Developer) be retained for predevelopment services for the Project.

The Predevelopment Agreement ("PDA"), proposed by Servitas with Town-directed amendments, was authorized by Town Council at the June 13, 2023 meeting. The PDA was a broad and flexible agreement that engaged the Developer to collaborate with the Town for the planning, programming, design, permitting, financing, construction, sale/lease structure, maintenance, management, operation, and overall development of the Project.

Since June 2023, the Developer, in close cooperation with staff, has achieved land use approvals through the HARC and Planning & Zoning processes, among others, as was contemplated in the Agreement. These approvals include:

- Preliminary PUD approval achieved in January 2024 and Final PUD submitted for review in October 2024 and to be recorded pending Town Council approval of the Project.
- Preliminary Subdivision approval achieved in February 2024 and Final Subdivision submitted for review in October 2024 and to be recorded pending Town Council approval of the Project and conditioned upon the demolition of the current Tower House structure.
- Right of Way vacation approved in September 2024.
- Land transfer from Block 23 corporation to Town in October 2024.
- Various HARC approvals achieved throughout 2024, culminating in all final approvals achieved by November 2024.
- First reading of the Ground Lease ordinance was approved at the November 5, 2024 Town Council meeting.
- Pending Town Council approval of the Project, the Developer anticipates the issuance of phased Building Permits beginning in November 2024.

As required under the PDA, Town staff and Developer have come to agreement, subject to Council approval, on major terms, conditions, and other aspects of the Project's structure, ownership, development, construction, financing, operation, maintenance, and management and the Developer compensation for the same.

**PROJECT SUMMARY**

As noted above, the design and entitlement processes for the Project have been completed, specifically encompassing HARC approvals for demolition of the existing Tower House building, new construction of 2 apartment buildings on the Canyonlands site, 2 affordable for-sale multi-family buildings on the front of the Tower House site, and 3 Town Homes on the back of the Tower House site; and Planning and Zoning Commission approval for a Large Scale Subdivision, including Right-of-Way Vacation, and a Planned Unit Development for increased site coverage, height, and smaller lots.

As designed and approved, the Project is comprised of six different buildings and contains approximately 28,261 net residential square feet:

The housing unit mix and approximate unit sizes are summarized in the table below:

For Rent Units

| Unit Type | Count | % of Total | NRSF Ranges |
|---|---|---|---|
| Studio | 14 | 50% | 390sf – 461sf |
| 1 Bedroom | 3 | 11% | 417sf - 543sf |
| 2 Bedroom | 10 | 36% | 680sf – 843sf |
| 3 Bedroom | 1 | 4% | 1080 sf |
| Total | 28 | 100% | |

For Sale Units

| Unit Type | Count | % of Total | NRSF Ranges |
|---|---|---|---|
| Studio | - | 0% | |
| 1 Bedroom | 4 | 36% | 494sf – 544sf |
| 2 Bedroom | 2 | 18% | 740sf – 760sf |
| 3 Bedroom | 2 | 18% | 1047sf – 1520sf |
| Townhome | 3 | 27% | 2182sf – 2259sf |
| Total | 11 | 100% | |

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**Key Deal Points**
The following is a condensed summary of the most salient deal points for the proposed Project:

- Town provides the land for the Project under the terms of a 30-year Ground Lease and provides project support in the form of a Replenishment Resolution (Moral Obligation)
- Developer takes out the debt to fund the Project and will construct, finance, manage, operate, and maintain the Project under the terms of the Ground Lease, Development Agreement and Asset Management Agreement
- The Town shall be reimbursed the $1.5 million it has spent to date on predevelopment services
- Sales proceeds of the for-sale portions of the Project will be used to buy down the debt of the rental portion of the Project, to maintain affordability in perpetuity
- The Town will annually approve the Operating Budget of the asset and will be provided with reports from the Developer, confirming compliance with required AMI targets and other occupancy requirements and qualification standards
- The Project is targeted at an average affordability of 120% AMI, as codified in the Ground Lease and consistent with the provisions of the RFP and the PDA

**AMI Targeting, Occupancy Requirements, and Qualification Standards**
Consistent with the RFP and PDA, both the rental portions and affordable for sale portions of the Project are required to be targeted at an average affordability of 120% AMI, within a range of 80% AMI to 150% AMI, and in no case can any units be priced at affordability exceeding 150% AMI. It is the Developer's responsibility to qualify renters and maintain ongoing compliance, after the initial lotteries have been conducted in conjunction with Town staff and SMRHA. Additional occupancy requirements and qualification standards for rental units include:

- Employment Standard: 1,400 hours per year (Intent to Work accepted); Qualified Retired and Qualified Disabled also accepted
- Initial Income Qualification: No more than 20% higher than the unit's target

affordability (for example: if a unit is targeted at 100% AMI, the initial household income maximum would be 120% AMI)

- Ongoing Income Qualification: No higher than 150% AMI
- Residential Property Standard: No ownership of improved residential property in San Miguel County
- Minimum Occupancy: 1 person per bedroom
- Minimum Lease Terms: 6-months (with up to 5 units allowed for 3-month, seasonal rentals)

**Form of Deed Restriction/Lottery**

The Ground Lease requires the Developer to partner with the Town and SMRHA to conduct initial rental and sales lotteries for the rental units and for sale affordable condominiums, respectively. All eight of the for sale affordable condominiums will have a standard Town of Telluride deed restrictions placed upon them, and the Town will have the option to set aside up to two units outside of the lottery for Town staff, consistent with the Manager's Department's policy and goal of housing 30% of Town employees in Town-constructed housing. Up to four rental units may be set aside for the same purpose. All of the rental units on Canyonlands are restricted as affordable rentals, consistent with the PUD approval and pursuant to the occupancy qualifications enumerated in the Ground Lease.

**Project Subsidies and Contributions**

The rental portion of the Project relies upon the sales proceeds of the for sale portions of the Project to maintain the required affordability targets; no subsidy from the Affordable Housing Fund is required. To date, the Town has expended $1.5 million in predevelopment services (inclusive of the Developer's pre-development fee), all of which will be reimbursed to the Town at the Project's Financial Close. To achieve the required affordability targets for the rental portion of the Project, the sales proceeds from the condos and town homes will be used to buy down the bond debt.

**Project Budget, Costs, and Financing Approach**

On November 19, 2024, the Town Council will consider an ordinance on second reading that would allow the Town to enter into the Ground Lease that will convey the Canyonlands and Tower House parcels to the Developer's Special Purpose Entity ("SPE") to serve as Owner of the project for the life of the Ground Lease. The term of the Ground Lease is 30 years and will immediately collapse once the debt is paid off. The financing structure is set up as rapid amortization, where all additional proceeds from the project will immediately be put back into the project to buy down principal. Upon collapse of the Ground Lease, Canyonlands will revert back to Town ownership. Ownership of the Tower House site will remain with the Condominium owner's association.

The financing of the Project differs from other, previous Town housing projects, as neither the Town nor THA will be issuing debt to fund the Project. The Developer will be financing with a taxable bond with J.P. Morgan serving as Developer's underwriter in a private placement via a conduit issuance with the Wisconsin Public Finance Authority. The $26,575,000.00 bond will finance the construction of 39 units, and includes a Capitalized Interest Account and a Debt Service Reserve Fund. The Developer's SPE is the borrower and anticipates the 30-year debt will be paid off early.

The Developer, Servitas, is responsible for the Design, Construction, Financing, Operations, and Maintenance of the development under the Ground Lease, the Development Agreement, and the Asset Management Agreement. Under the Development Agreement, Servitas earns a one-time Development Fee of $2,140,791 of the $26,575,000 total project costs and provides a completion guarantee, which ensures the project will be completed on time and on budget, at the Developer's risk and expense. Servitas will receive no other fee compensation as Developer.

The Town/THA receives a full Payment and Performance bond and Servitas will contract with the General Contractor ("BCC") in a Guaranteed Maximum Price ("GMP") contract that will be executed at Financial Close.

**Replenishment Resolution and PFA Support Letter**

In support of the Project, the Town is providing a moral obligation, in the form of a Replenishment Resolution. Within 45 days of receiving notice from the Trustee that the Series 2024 Bonds Reserve

Account has been utilized, in whole or in part, to make debt service payments on the Series 2024 Bonds, and has not been replenished from another source, the Town Manager is authorized and directed to prepare and submit to the Town Council a request for an appropriation of a sufficient amount of funds to replenish the Series 2024 Bonds Reserve Account to the Debt Service Reserve Requirement applicable to the Series 2024 Bonds. Pursuant to the Resolution, it is the intention and expectation of the Town Council to appropriate such funds as requested, within the limits of available funds and revenues, but this declaration of intent shall not be binding upon the Town Council or any future Town Council in any future year.

Town Council may determine, in its sole discretion, but shall not be required, to make the appropriations as requested. All sums appropriated by the Town Council to replenish the Series 2024 Bonds Reserve Account shall be deposited by the Trustee in the Series 2024 Bonds Reserve Account. The Resolution does not, and shall not be construed to create a general obligation or other indebtedness or multiple fiscal year direct or indirect debt or other financial obligation of the Town within the meaning of its Charter or any constitutional debt limitation, including Article X, Section 20 of the Colorado Constitution. Neither the Resolution nor the issuance of the Series 2024 Bonds shall obligate or compel the Town to make any payments to replenish the Series 2024 Bonds Reserve Account beyond those appropriated in the Town Council's sole discretion.

Additionally, it is requested that the Town provide a letter of support to the Public Financing Authority (PFA) on the issuance of the bonds required to finance the Project. A draft of this support letter has been attached as an exhibit to this memo.

**THA Resolution**
The Telluride Housing Authority will be a 0.1% owner of the project Company, Servitas-Telluride Housing I, LLC, that has been set up to operate and manage the rental portion of the project, and the terms of the Authority's participation as a member in the Company, including the final terms of the Operating Agreement and the Asset Management Agreement have been substantially negotiated. These documents are on file with the Clerk, and the Resolution authorizes the Chair of the Board to execute and deliver them to the Board, provided that such documents may be completed, corrected or revised as deemed necessary or appropriate by the parties thereto in order to carry out the purposes of the Resolution.

**Project Timeline**
The project is scheduled to be completed 12 months from each site's start date.

**RECOMMENDATION**

If THA and Town Council agree with the recommendations to proceed with the Canyonlands and Tower House Affordable Housing Project as set forth herein, the following motions are appropriate:

<u>As Town Council:</u>

Move to approve on second reading (Town Council Agenda Item 8.c):

> "An Ordinance Of The Town Council Of The Town Of Telluride Concerning The Execution And Delivery By The Town Of A Ground Lease For The Canyonlands and Tower House Affordable Housing Project"

Move to approve (Town Council Agenda Item 12.a):

> "A Resolution Of The Town Council Of The Town Of Telluride, Colorado, Concerning Servitas-Telluride Housing I, LLC And The Issuance By Public Finance Authority Of Its Taxable Multifamily Housing Revenue Bonds (Telluride Affordable Housing Project), Series 2024, And Declaring The Town Council's Non-Binding Intent To Appropriate Funds To Replenish The Series 2024 Bonds Reserve Account Securing Such Bonds, If Necessary, And Authorizing The Provision Of Certain Financial Information About The Town On An Ongoing Basis And The Execution Of Related Documents"

Move to approve (Town Council Agenda Item 12.a):

> "the execution of a letter by the Mayor consenting to the issuance of bonds by the Public Finance Authority for the Canyonlands and Tower House Project."

As THA:

Move to approve (THA Agenda Item III.C):

> "A Resolution Of The Board Of Commissioners Of The Telluride Housing Authority Concerning Becoming A Member In The Owner Of The Canyonlands And Tower House Project, And In Connection Therewith, Authorizing The Execution Of An Operating Agreement Among The Members Of The Servitas-Telluride Housing I, LLC And An Asset Management Agreement By And Between Servitas-Telluride Housing I, LLC And Servitas Management Group, LLC."

Prepared By: James Van Hooser, Manager's Department;
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Town Manager